

Advanced Micro Devices, Inc.

AMD • NASDAQ Global Select • Semiconductors • United States

COMPANY PROFILE

Advanced Micro Devices designs and sells semiconductor products across three reportable segments: Data Center (server CPUs and AI accelerator GPUs for cloud and enterprise computing), Client and Gaming (PC processors, semi-custom console chips, and discrete graphics), and Embedded (adaptive computing products for industrial, automotive, aerospace, and communications markets). The company is investing heavily to expand its AI accelerator business, including large-scale GPU deployment commitments with major technology customers.

RECOMMENDATION

HOLD

12-month horizon

CURRENT PRICE

482.05 USD

as of report date

TARGET PRICE

490.50 USD

12-month fundamental

IMPLIED UPSIDE

+1.8%

vs. current price

MARKET CAP

USD 786 bn

shares × price

ENTERPRISE VALUE

USD 791.1 bn

mcap + net debt

P/E 2026E

118.4×

EV/EBITDA 2026E

55.7×

FCF YIELD 2026E

-1.3%

DIVIDEND YIELD
2026E

—

NET DEBT / EBITDA
2026E

0.4×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION HOLD 12-month horizon	TARGET PRICE 490.50 USD 12-month fundamental	CURRENT PRICE 482.05 USD as of report date	IMPLIED UPSIDE +1.8% vs. current price
MARKET CAP USD 786 bn shares × price	ENTERPRISE VALUE USD 791.1 bn mcap + net debt	P/E · EV/EBITDA 2026E 118.4x · 55.7x history + peers, see p. 18–19	FCF · DIV YIELD 2026E -1.3% · —



01 AI Accelerator Volume Scales

AI Accelerator volume must reach roughly 2.5 million Instinct GPU units at a 12,500 USD blended ASP to generate 31,645 USDm revenue by 2027–2028. Sustaining a 40% operating margin on this revenue base supports the 48.0% EV allocation underlying the target.

31,645 USDm revenue

02 EBITDA Margin Expansion

Group EBITDA rises from 14,194 USDm in 2026 to 39,971 USDm in 2028 as AI revenue improves mix. Margins rise from 28.6% to 36.7%, reducing EV/EBITDA from 55.74x to 20.05x and supporting the 25.0x fair multiple used in the valuation.

39,971 USDm EBITDA

03 Delayed FCF Inflection

Free cash flow remains negative at negative 10,509 USDm in 2026, driven by a 9,352 USDm working-capital build for AI ramp inventory. It turns positive at 2,522 USDm in 2028. This delayed cash inflection limits near-term upside despite the constructive EBITDA outlook.

-10,509 USDm 2026 FCF

THESIS BREAKER

If Nvidia cuts flagship GPU prices aggressively to defend its dominant market share, AMD's required 40% AI margin would collapse, undermining the main driver of its valuation.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Monthly closing prices over 24 months with the 12-month target price, alongside key market data.



CURRENT PRICE 482.05 USD 6 August 2026	TARGET PRICE 490.50 USD 12-month	IMPLIED UPSIDE +1.8% vs. current	52-WEEK HIGH 584.73 USD past 12m
52-WEEK LOW 149.22 USD past 12m	1-YEAR CHANGE +195.5% price only	3-YEAR CHANGE +316.2% price only	REPORT DATE 6 August 2026

READING THE MOVE

Over the past 24 months, AMD's share price has been driven largely by expectations for AI infrastructure growth and its role as the primary merchant alternative to Nvidia. The stock saw significant multiple expansion as investors priced in the 6-gigawatt OpenAI deployment agreement and Meta capacity commitments.

Acquisition amortization and weak Embedded end markets currently depress profitability. Investors are nevertheless pricing in a material EBITDA step-up in 2027-2028. The current price assumes near-perfect execution of the AI ramp, leaving only modest 1.8% upside to our USD 490.5 target.

VALUE BREAKDOWN · PART 1

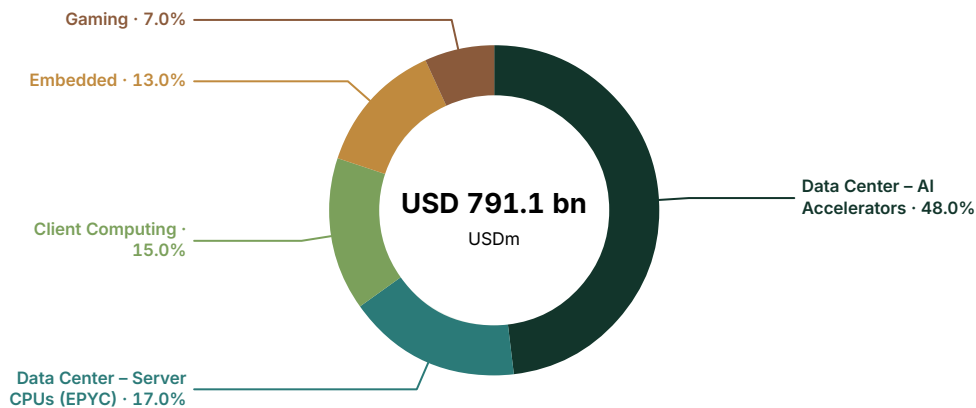
Enterprise - value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

Enterprise value by business division

USD millions · current analytical allocation



VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise - value allocation against reported economics. "Reported" rows match a verified company - reported segment; "Modelled allocation" rows are model - side splits. Business divisions may differ from company - reported accounting segments.

	EV	EV %	REVENUE	REV %	COMP. EBIT	COMP. EBIT %	BASIS
Data Center – AI Accelerators	379,741	48.0%	7,500	21.7%	1,000	27.1%	Modelled allocation
Data Center – Server CPUs (EPYC)	134,492	17.0%	9,100	26.3%	3,100	83.9%	Modelled allocation
Client Computing	118,669	15.0%	9,000	26.0%	1,000	27.1%	Modelled allocation
Embedded	102,846	13.0%	3,500	10.1%	1,050	28.4%	Modelled allocation
Gaming	55,379	7.0%	5,539	16.0%	450	12.2%	Modelled allocation
Total	791,127	100.0%	34,639	100.0%	3,694	178.7%	

VALUE BREAKDOWN · PART 2

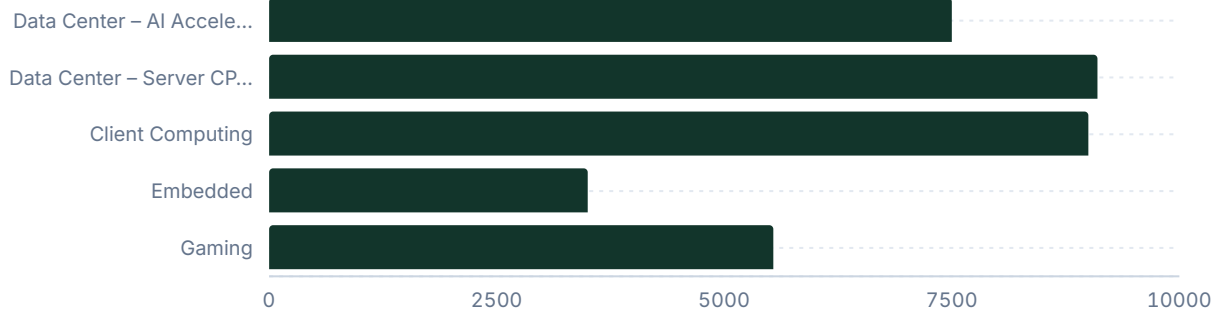
Revenue and profit by reported segment

05

Where the group's revenue and reported profit metric originate, by the company's own reported segments. Chart headings state the disclosed sales basis.

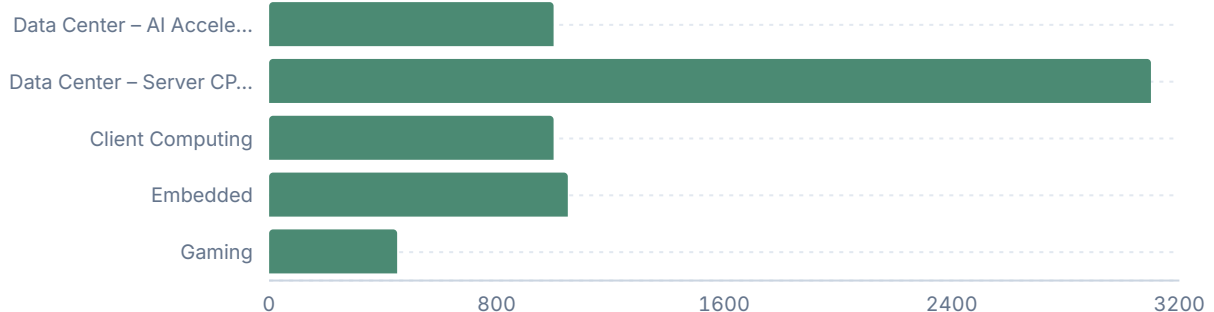
Revenue (model estimate) by reported segment

USD millions, FY2025A



Comparable EBIT (model estimate) by reported segment

USD millions, FY2025A



INTERPRETATION

The EV allocation is highly forward-looking. Nearly half of the group's USD 791 billion enterprise value is assigned to Data Center – AI Accelerators, which still represents a minority of group revenue and EBITDA. The market is valuing AMD on projected cash generation in 2027 and 2028, based on a sharp increase in data center profitability from large hyperscaler deployments.

VALUE BREAKDOWN · ANALYTICAL VIEW

Where value sits versus where money is earned

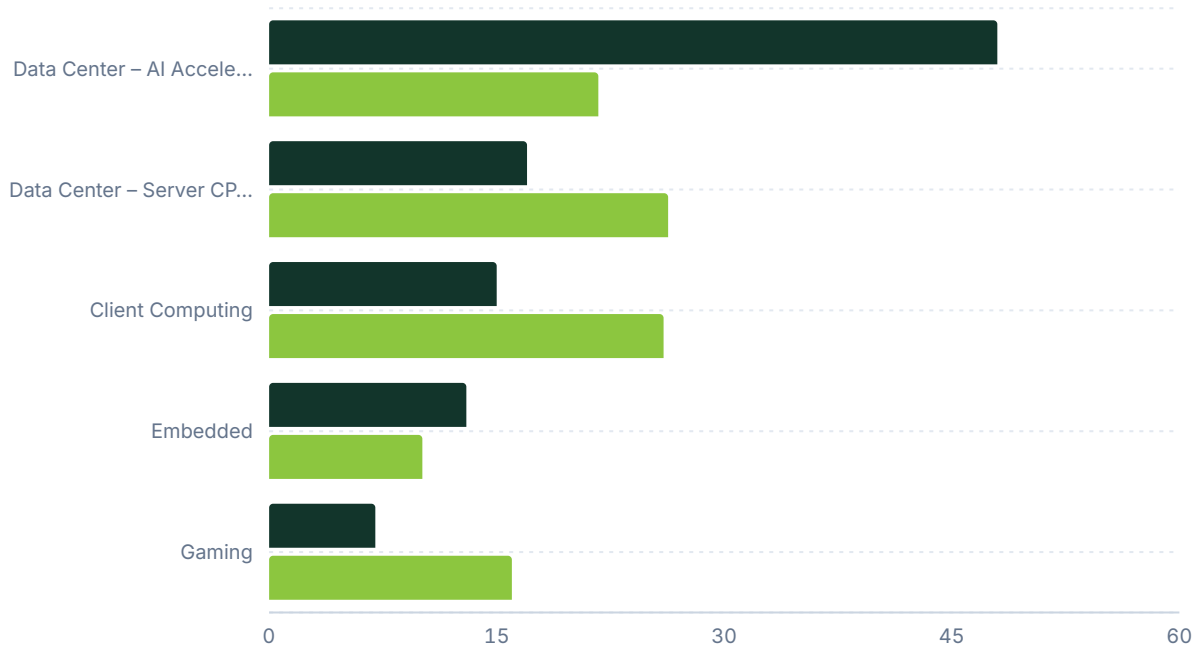
Each business division's share of enterprise value against its share of group revenue.
A division holding value it does not yet earn is where the valuation rests on the future;
the full figures are in the allocation table on the previous page.

05B

Share of enterprise value vs share of revenue

Per cent of group total · modelled allocation

■ Share of EV ■ Share of revenue



RECOMMENDATION

Why we land on the call we do

06

The rationale for the rating, the decision summary, and the three principal supporting arguments.

The stock trades at USD 482.05, close to fair value. We maintain a HOLD rating and a USD 490.5 target price, implying roughly 1.8% upside over the next 12 months.

AMD's valuation depends most on the AI Accelerator ramp. Group EBITDA rises from \$14,194m in 2026 (28.6% margin) to \$39,971m by 2028 (36.7% margin), reducing EV/EBITDA from 55.74x on 2026e to 20.05x on 2028e. AI Accelerators account for 48.0% of EV, or \$379,741m of the \$791,127m total. To support this valuation through 2027-2028, AMD must sell roughly 2.5 million Instinct GPU units at a \$12,500 blended ASP and sustain a 40% operating margin.

Four divisions account for the \$791,127m EV. AI Accelerators require ~2.5 million units at a \$12,500 ASP to reach \$31,645m revenue by 2027-2028. Server CPUs hold 46.2% x86 revenue share versus 33.2% unit share. They generate \$14,943m revenue at a 45% margin (\$6,724m EBITDA) on a 20x multiple, supported by current run-rates. Client Computing requires roughly \$6,000m EBITDA at ~20x and depends on maintaining 20%-25% PC share through the AI-PC refresh. Embedded is supported by \$25,126m goodwill and \$16,705m intangibles, but needs ~\$5,000m EBITDA after industrial inventory clears. Gaming is a mature, cash-generative \$55.4B allocation with structurally declining volume.

HOLD

TARGET PRICE

490.50 USD

CURRENT PRICE

482.05 USD

IMPLIED UPSIDE

+1.8%

12-MONTH VIEW

The valuation prices in a seamless ramp for AI accelerators, leaving the stock fully valued as the company navigates demanding volume execution and heavy near-term working capital requirements.

MAIN DRIVER

AI Accelerator revenue scaling and operating margin defense.

MAIN RISK

Nvidia pricing action and CoWoS advanced packaging bottlenecks.



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-10,509 USDm 2026 FCF

THESIS BREAKER

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CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the business division deep dives that follow.

AMD's current recurring earnings come mainly from traditional server (EPYC), client (Ryzen), and embedded (adaptive SoC) processors. Its EV allocation, however, is highly forward-looking. Nearly half of the group's USD 791 billion enterprise value is assigned to Data Center – AI Accelerators, which remains a minority of group revenue and EBITDA despite rapid growth. The market is valuing AMD on projected cash generation in 2027 and 2028, based on a sharp increase in data center profitability.

Enterprise value bridges to equity market capitalization through a modest net debt position of USD 5,096 million. AMD's fabless model and strong operating cash flow (estimated at USD 8.5 billion for 2026) mean it does not carry the heavy debt typical of infrastructure or capital-intensive manufacturers. The valuation debate therefore rests on operating assumptions, particularly Instinct GPU volume, pricing, and margin, rather than balance-sheet claims or restructuring discounts.

AMD's reported financials require adjustment. GAAP EBIT is reduced by roughly USD 3.0 billion of annual depreciation and amortization, much of it non-cash intangible amortization from the Xilinx and Pensando acquisitions. Reported EBIT is therefore not a reliable measure of recurring operating economics. The valuation relies on EBITDA and operating cash flow as better measures of underlying earnings power. The key areas are AI Accelerators and Server CPUs, which account for 65% of enterprise value and compete directly with Nvidia and Intel.

ANALYTICAL ANCHOR

AMD's current recurring earnings come mainly from traditional CPUs, but its valuation is forward-looking and heavily dependent on AI accelerator scale-up in 2027-2028.

08

Data Center – AI Accelerators

Business division deep dive — Scaling.

WHY THE MARKET VALUES IT

The market assigns nearly half of AMD’s enterprise value to this division because it is the only viable merchant silicon alternative to Nvidia in the AI infrastructure build-out. The valuation is not supported by current recurring cash flow. It reflects growth optionality moving into early monetization. Investors assume AMD can capture a lasting minority share of a rapidly expanding AI hardware market and become an important partner for hyperscalers seeking to diversify silicon supply beyond one dominant provider.

MARKET STRUCTURE AND DEMAND

The AI accelerator total addressable market is expanding rapidly. AMD management guided in 2024 that the AI accelerator TAM would reach USD 400 billion by 2027, and recently updated this estimate to USD 1.4 trillion by 2030. The market is split between internal custom silicon and merchant silicon. Near-term demand is constrained by advanced packaging (CoWoS) and high-bandwidth memory (HBM) supply, not end-customer budgets. AMD does not need to displace Nvidia; it needs to capture 7% to 12% of the expanded USD 400 billion merchant market.

COMPETITIVE POSITION AND ECONOMIC MOAT

Merchant AI silicon is effectively a duopoly, though the incumbent remains dominant. Nvidia holds roughly 85% of the data center accelerator market. AMD’s position depends on price-performance, open-source software flexibility, and hyperscaler support.

- Nvidia (H100 / B200): Dominant incumbent with ~85% data center share and \$25,000–\$40,000 ASP.
- AMD (MI300X / MI325X): Primary challenger targeting 7%–10% share with \$10,000–\$15,000 ASP.

Nvidia has major advantages through its CUDA software ecosystem and proprietary networking, allowing it to charge premium prices. AMD competes on memory capacity and total cost of ownership. Its units are priced between USD 10,000 and USD 15,000, roughly a 30% to 50% discount to Nvidia’s flagship products. This pricing has secured commitments from operators seeking to improve inference economics.

UNIT ECONOMICS AND REQUIRED SCALE

The economics depend on volume, including wafer and HBM allocation, multiplied by ASP and shaped by advanced-packaging gross margins. At an estimated ASP of USD 12,500, every 100,000 units deployed generates USD 1.25 billion in revenue. These complex products use TSMC’s advanced nodes, so gross margins are likely in the 50% to 60% range and offer significant operating leverage. The recently announced OpenAI arrangement is a 6-gigawatt deployment, implying millions of GPUs over the contract life and supporting the multi-billion-dollar revenue base required by the valuation.

ECONOMICS BRIDGE

The valuation requires a substantial revenue and EBITDA ramp:

- Required EBITDA: ~12,658 USDm (annual recurring run-rate by 2028)

DATA CENTER – AI
ACCELERATORS FACT SHEET

SCALING

MODEL ESTIMATE REVENUE
USD 7,500m

MODEL ESTIMATE COMPARABLE EBIT
USD 1,000m

VALUATION BASIS
Forward optionality / Peer multiple

UNIT TARGET
~2.5 million units

ASP ASSUMPTION
\$12,500

OPENAI DEAL FORM
Definitive agreement and warrant
issuance

OPENAI CONSIDERATION
Performance-based warrants for
160m shares

OPENAI COMMITMENT
6-gigawatt GPU deployment

NEXT DEAL MILESTONE
Initial 1GW deployment starting 2H
2026

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08

Data Center – AI Accelerators (continued)

Business division deep dive — Scaling.

- Required Revenue: ~31,645 USDm (assuming a 40% operating margin)
- Volume Driver: ~2.5 million units annually at a \$12,500 ASP

BRIDGE SANITY CHECK

AMD must sell approximately 2.5 million Instinct GPUs annually at USD 12,500 to generate USD 31.6 billion in revenue. In a TAM projected to reach USD 400 billion by 2027, USD 31.6 billion represents less than an 8% market share. Customer commitments support this logic: the OpenAI deal's initial 1-gigawatt phase, beginning in late 2026, alone represents over USD 12 billion in hardware value.

GAP TO REQUIRED ECONOMICS

There is no structural shortfall if execution remains on track. AMD must deliver its production ramp, secure enough HBM3e supply from memory partners, and convert the 6-gigawatt OpenAI commitment and other hyperscaler agreements into recognized revenue without significant margin pressure.

MILESTONES AND EVIDENCE NEEDED

Over the next 12 to 24 months, AMD must execute the initial 1-gigawatt OpenAI deployment and transition from MI300X to MI325X/MI355X architectures. Volume shortfalls from TSMC CoWoS packaging constraints or HBM supply shortages would weaken the investment case. Over the 3-to-5-year horizon, AMD must show that its ROCm software stack can approach CUDA compatibility.

ASSESSMENT

The enterprise value allocation is achievable but demanding. Capturing 8% of a USD 400 billion market at historical semiconductor margins supports the USD 380 billion enterprise value allocation. The risk is execution. The valuation leaves no room for architectural errors, software fragmentation, or major supply-chain yield issues.

DATA CENTER – AI ACCELERATORS FACT SHEET

SCALING

MODEL ESTIMATE REVENUE
USD 7,500m

MODEL ESTIMATE COMPARABLE EBIT
USD 1,000m

VALUATION BASIS
Forward optionality / Peer multiple

UNIT TARGET
~2.5 million units

ASP ASSUMPTION
\$12,500

OPENAI DEAL FORM
Definitive agreement and warrant issuance

OPENAI CONSIDERATION
Performance-based warrants for 160m shares

OPENAI COMMITMENT
6-gigawatt GPU deployment

NEXT DEAL MILESTONE
Initial 1GW deployment starting 2H 2026

COMPETITOR COMPARISON: MERCHANT AI ACCELERATORS

COMPETITOR / ARCHITECTURE	CURRENT COMMERCIAL STATUS	SCALE (MARKET SHARE)	ESTIMATED C
Nvidia (H100 / B200)	Dominant incumbent	~85% share	\$25,000 – \$40
AMD (MI300X / MI325X)	Primary challenger	7% – 10% target	\$10,000 – \$15

08

Data Center – Server CPUs (EPYC)

Business division deep dive — Profit engine.

WHY THE MARKET VALUES IT

While AI accelerators dominate the narrative, EPYC server CPUs provide AMD's earnings floor. The market values this division as a mature, cash-generative duopoly in which AMD has gained share from Intel. EPYC's core density, power efficiency, and total cost of ownership have made it a preferred choice for major cloud providers upgrading traditional compute fleets.

MARKET STRUCTURE AND DEMAND

The data center CPU market is large and distinct from GPUs, although AI demand supports high-performance host CPUs. The server CPU TAM is expected to reach approximately USD 220 billion by 2030. The market is shifting from unit growth toward higher core counts and memory bandwidth, which support premium ASPs. Replacement cycles are fixed, and hyperscalers require reliable, consistent platforms.

COMPETITIVE POSITION AND ECONOMIC MOAT

AMD has changed the server CPU market hierarchy over the last five years. In early 2026, AMD EPYC CPUs reached a record 46.2% revenue share and 33.2% unit share in the x86 server market.

- AMD (EPYC): 46.2% revenue share and 33.2% unit share, supporting premium ASPs.
- Intel (Xeon): 53.8% revenue share and 66.8% unit share, defending its legacy enterprise base.
- Arm (Custom Silicon): A growing hyperscaler threat optimized for specific workloads.

AMD's revenue share exceeds its unit share, showing that it captures the premium-ASP end of the market while Intel serves more lower-margin deployments. AMD's chiplet architecture supports cost-effective core-count scaling. Its use of TSMC also provides a process-node advantage over Intel's internal foundry challenges.

UNIT ECONOMICS AND REQUIRED SCALE

Server CPU economics depend on ASP, die yield, and platform attach rates. Higher core counts drive ASPs disproportionately. EPYC gross margins are above the corporate average. AMD's use of TSMC keeps capital intensity low, allowing high gross margins to convert efficiently into free cash flow.

ECONOMICS BRIDGE

The economics bridge fully supports the current valuation:

- Allocated Enterprise Value: 134,492 USDm (17.0% of group EV)
- Required EBITDA: ~6,724 USDm (annual recurring run-rate)
- Required Revenue: ~14,943 USDm (assuming a 45% operating margin)

BRIDGE SANITY CHECK

Current run-rates fully support the valuation. If the server CPU TAM reaches USD 220 billion, the implied revenue requirement of USD 15 billion is less than 7% of the 2030 market. It also requires only that AMD maintain its current absolute revenue in a growing market. The division is already operating at or near this cash-generation level.

DATA CENTER – SERVER CPUS (EPYC) FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE

USD 9,100m

MODEL ESTIMATE COMPARABLE EBIT

USD 3,100m

VALUATION BASIS

EBITDA multiple

MARKET SHARE (UNIT)

33.2%

MARKET SHARE (REV)

46.2%

08

Data Center – Server CPUs (EPYC) (continued)

Business division deep dive — Profit engine.

GAP TO REQUIRED ECONOMICS

AMD mainly needs to maintain its current product cadence. The primary risk is not Intel regaining the performance lead, but hyperscalers (AWS, Google, Microsoft) replacing x86 merchant silicon with their own Arm-based processors for general-purpose workloads.

MILESTONES AND EVIDENCE NEEDED

Over the next 12 months, investors will watch whether Intel can defend its remaining enterprise base with new Xeon products. AMD must show that its Venice architecture retains its performance-per-watt advantage. A sustained decline in EPYC ASPs would suggest Intel is using price to defend share or that custom Arm silicon is pushing merchant CPUs toward commodity pricing.

ASSESSMENT

The enterprise value assigned to Server CPUs is realistic and well supported by current recurring economics. Unlike AI Accelerators, this valuation does not require a major increase in future market size. It assumes AMD retains the share gains achieved over the past five years.

DATA CENTER – SERVER CPUS (EPYC) FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 9,100m

MODEL ESTIMATE COMPARABLE EBIT
USD 3,100m

VALUATION BASIS
EBITDA multiple

MARKET SHARE (UNIT)
33.2%

MARKET SHARE (REV)
46.2%

COMPETITOR COMPARISON: SERVER CPUS			
COMPETITOR	CURRENT COMMERCIAL STATUS	SCALE	KEY COMPETITIVE ADVANTAGE
AMD (EPYC)	Share-gainer	46.2% rev share	Power efficiency per rack
Intel (Xeon)	Incumbent defending	53.8% rev share	Deep legacy entrenchment
Arm (Custom)	Hyperscaler threat	Growing internal	Highly optimized workloads

08

Client Computing

Business division deep dive — Profit engine.

WHY THE MARKET VALUES IT

The market values Client as a reliable cash flow contributor that absorbs fixed R&D costs and provides scale with TSMC. The valuation assumes a steady-state business recovering from the post-pandemic PC downturn, with a modest ASP benefit from the emerging "AI PC" refresh cycle.

MARKET STRUCTURE AND DEMAND

The global PC market is roughly 300-million-unit annual volume. Historical growth is flat, with value driven by ASP mix toward premium notebooks and gaming PCs. AMD has broken Intel's former monopoly, gaining roughly 20% to 25% of the client market over the last cycle.

COMPETITIVE POSITION AND UNIT ECONOMICS

AMD's Ryzen architecture competes well with Intel's Core series, particularly in power-constrained notebooks. Unit economics depend on high shipment volumes to absorb manufacturing costs. Unlike server CPUs, however, the client market is price-sensitive and promotional.

The division must meet several conditions to support a USD 118 billion EV:

- Required EBITDA: roughly USD 6 billion at a ~20x multiple.
- Volume baseline: maintain 20% to 25% of the client market.
- Margin defense: avoid margin-destroying price wars as Intel struggles with fab utilization.

The valuation is plausible but remains sensitive to consumer demand and whether the AI-PC product cycle lifts blended pricing.

CLIENT COMPUTING FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 9,000m

MODEL ESTIMATE COMPARABLE EBIT
USD 1,000m

VALUATION BASIS
EBIT multiple

MARKET SHARE
20% - 25%

KEY REFRESH CATALYST
AI-PC cycle

08

Embedded

Business division deep dive — Declining.

WHY THE MARKET VALUES IT

The enterprise value allocation is supported largely by assets and goodwill. AMD acquired Xilinx for approximately USD 50 billion in stock, creating a large intangible asset base: the group balance sheet carries USD 25.1 billion in goodwill and USD 16.7 billion in other intangibles. The market values this division for high gross margins and a sticky, long-lifecycle customer base in aerospace, defense, and communications infrastructure.

MARKET STRUCTURE AND UNIT ECONOMICS

Embedded semiconductors have 10-to-15-year lifecycles. Customers design chips into industrial equipment or cellular base stations and rarely replace them because redesign costs are high. The economics are favorable: low volume, high ASPs, and limited ongoing marketing expense.

The segment is constrained by current macro weakness but supported by strategic assets:

- Required EBITDA: ~USD 5 billion to support the USD 102 billion EV.
- Asset backing: USD 25.1 billion in goodwill and USD 16.7 billion in other intangibles from Xilinx.
- Gross margin profile: historically exceeds 65%, supporting operating leverage.

Supporting a USD 102 billion EV requires a strong cyclical recovery in telecom and industrial spending. The valuation works on a mid-cycle basis, but depressed current run-rates leave a temporary gap in the earnings bridge.

EMBEDDED FACT SHEET

DECLINING

MODEL ESTIMATE REVENUE

USD 3,500m

MODEL ESTIMATE COMPARABLE
EBIT

USD 1,050m

VALUATION BASIS

Asset/goodwill multiple

GOODWILL BACKING

\$25.1B

INTANGIBLE BACKING

\$16.7B

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08

Smaller business divisions — grouped deep dives

Segments that don't warrant a full deep dive — a short fact strip each.

Gaming

Declining — Model estimate revenue: USD 5,539m · Model estimate Comparable EBIT: USD 450m ·
Valuation Basis: Revenue multiple · Current Cycle: Maturing console phase · Growth Profile:
Structurally declining

CORE ANALYSIS · CROSS-DIVISION BRIDGE

Putting the divisions back together

09

How the business division valuations aggregate to the group, and the re-rating the target price requires.

Forward estimates depend on Data Center – AI Accelerators. Server CPUs, Client, and Embedded provide a stable base of roughly USD 10 to USD 12 billion in recurring EBITDA. The increase to USD 26.6 billion in 2027 and nearly USD 40.0 billion in 2028 assumes execution of the OpenAI 6-gigawatt deal and other hyperscaler commitments.

Reported net earnings and EBIT are currently distorted. In 2026, AMD expects USD 10.3 billion in total depreciation and amortization, much of it non-cash acquisition amortization. By 2027, this drag falls to a modeled USD 121 million. EBIT margins then align more closely with cash generation, rising from 7.9% to 33.4%.

The FCF bridge is the weakest part of the forecast. Procuring TSMC wafers and HBM3e memory for millions of AI GPUs requires substantial working-capital investment. The model assumes significant cash consumption in 2026 (negative USD 10.5 billion FCF) before the cash cycle normalizes in 2028. If hyperscalers delay GPU deliveries, AMD could be left with costly inventory that depreciates quickly, weakening the cash bridge.

BRIDGE MECHANICS

High-margin AI deployments drive EBITDA growth, while working-capital investment weighs heavily on near-term free cash flow.

The valuation has two parts. Approximately 45% of enterprise value, covering Server CPUs, Client, and Gaming, is supported by current operating cash flow and recurring market share. Another 13%, Embedded, is supported by an asset-value framework that compares assigned EV with the goodwill and strategic IP acquired through Xilinx, assuming the cycle eventually normalizes.

The remaining 48% assigned to AI Accelerators is the main source of risk. On a 30x EV/EBITDA framework, current EBITDA does not support this allocation. The market assumes the OpenAI 6-gigawatt deployment and similar commitments will proceed on schedule and at historical semiconductor margins.

The valuation assumes AMD can fund the large working-capital needs for advanced packaging and memory without supplier pressure or customer price renegotiation.

The valuation can be supported because the AI hardware market is large enough for AMD to generate USD 12 billion to USD 15 billion in EBITDA with only a modest market share. It could fail quickly if Nvidia uses its gross margins to cut merchant pricing, undermining AMD's unit economics.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

The scenario analysis depends on AI Accelerator volume and monetization. In the base case, AMD reaches the USD 40 billion EBITDA consensus by 2028. EV remains unchanged as the multiple falls to a reasonable 20x.

The downside is significant because the current EV/EBITDA multiple (55.7x on 2026E) offers no valuation floor if growth slows. If Nvidia cuts H100/B200 pricing aggressively, or hyperscalers reduce capital expenditures, AMD's required 40% margin on the AI business would fall. Lower EBITDA and a multiple contraction to a traditional hardware 15x would erase over half of enterprise value. Net debt would likely rise as the company funds stranded working capital.

Upside requires the AI merchant market to exceed the base USD 400 billion TAM and move toward management's USD 1.4 trillion estimate, while AMD captures more than 10% share. If the OpenAI deployment becomes a template for other operators, AMD could exceed USD 55 billion in EBITDA and push equity value comfortably above the USD 1.2 trillion mark.

BOTTOM LINE

The investment case rests on whether AMD's position as the main merchant alternative to Nvidia justifies near-perfect expectations for its Data Center AI ramp. The market values its mature x86 CPU and embedded processor businesses at roughly USD 410 billion and its AI GPU business at roughly USD 380 billion. Data Center – AI Accelerators is the critical segment. The valuation is feasible: less than 10% of a conservative USD 400 billion TAM could generate the USD 12.6 billion in EBITDA needed to support the allocation. However, EV depends heavily on future execution. Portfolio managers should focus on 2H 2026 deployment milestones. If the 1-gigawatt OpenAI installation proceeds without yield issues, software incompatibility, or margin degradation, the USD 791 billion enterprise value is supportable.

FINANCIAL BRIDGE · PART 1

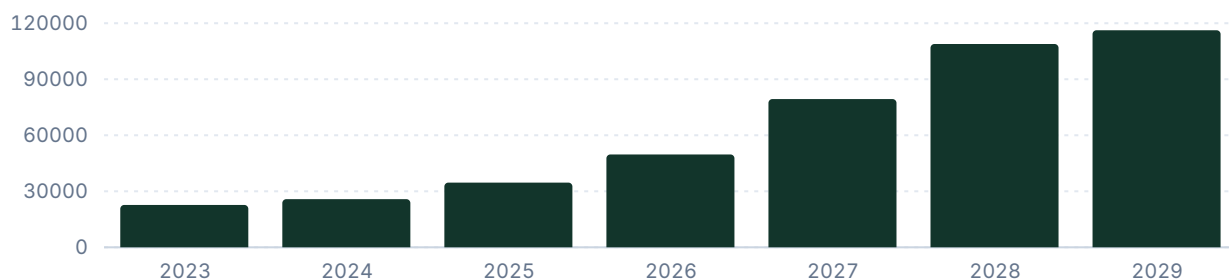
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

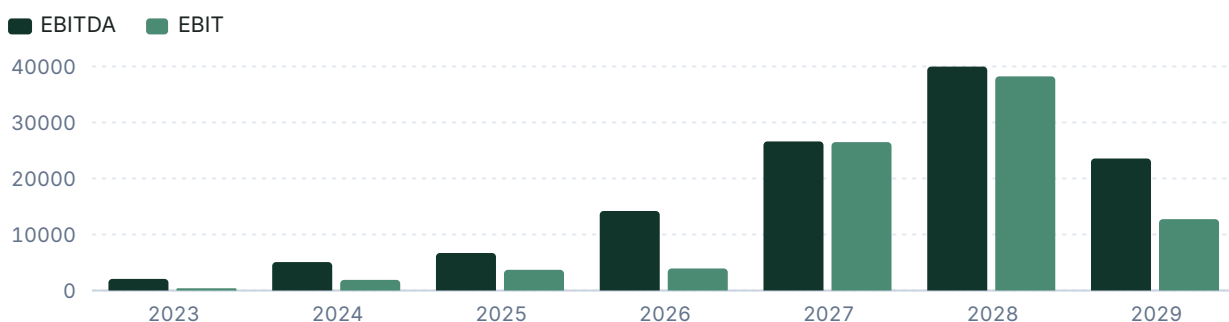
Net sales

USD millions



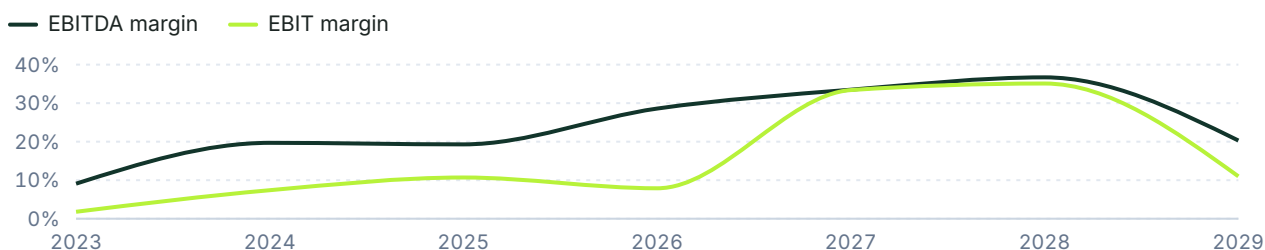
EBITDA & EBIT

USD millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

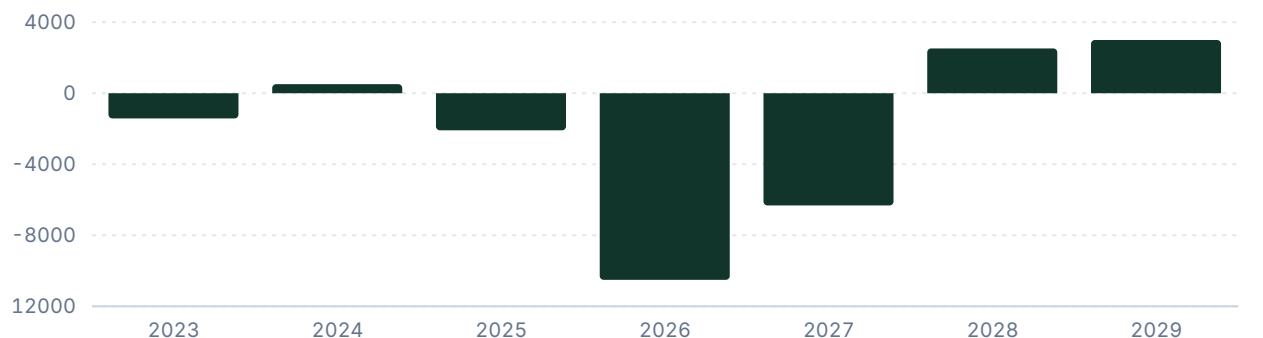
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

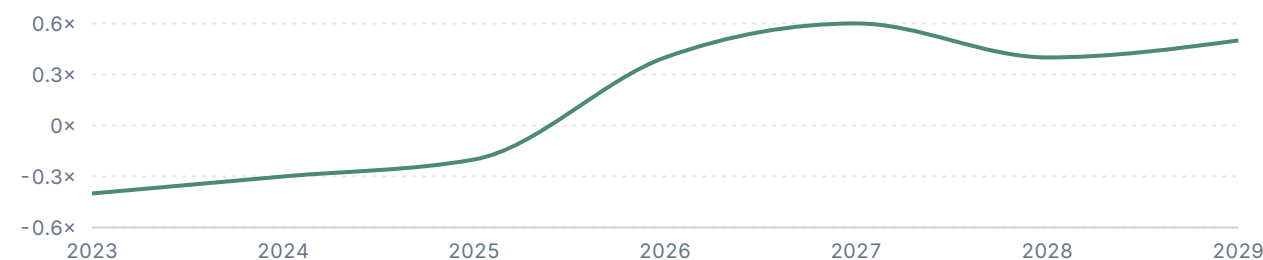
Free cash flow

USD millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	34,639	49,714	79,383	108,870	116,229
EBITDA	6,698	14,194	26,613	39,971	23,565
Comparable EBIT	3,694	3,934	26,492	38,225	12,740
Net Earnings	4,335	6,611	15,918	25,381	9,325
EPS (USD)	2.7	4.1	9.8	15.6	5.7
DPS (USD)	0	0	0	0	0

VALUATION

Target price derivation

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The rationale for the chosen valuation method and multiple, with the company's historical multiples.

EV/EBITDA was selected as the primary valuation method because it optimally captures AMD's significant near-term cash-generating inflection from its AI accelerator business while bypassing distortions caused by non-cash acquisition amortization. Advanced Micro Devices, Inc. currently trades at roughly 20.1x EV/EBITDA on 2028 estimates, which lies materially below its own normalized historical average of 42.9x, but remains roughly in line with the forward peer median of 24.5x. The selected fair multiple of 25.0x reflects a slight premium to peers, justified by the company's aggressive market share gains in data center GPUs and sustained robust top-line growth, while intentionally applying a discount to its historical peak multiples as the hyper-growth phase begins to mature. The XY scatter model (ROE vs P/BV) implies a standalone valuation of 122.8 USD and is included with a 10% weighting as a secondary valuation cross-check. The primary valuation risk compressing this fair multiple would be a slower-than-expected enterprise adoption curve for non-NVIDIA AI silicon, structurally capping out-year revenue and margin expansion.

Historical and Forecast Multiples											
Metric	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	Norm. Avg	Selected Fair Multiple
P/E	43.66x	56.06x	76.60x	278.59x	123.59x	80.54x	118.41x	49.19x	30.84x	76.09x	35.0x
P/FCF	-848.31x	77.45x	-2.21x	-167.65x	396.89x	-167.24x	-74.49x	-124.39x	311.67x	237.17x	
P/BV	18.62x	23.65x	1.85x	4.26x	3.52x	5.54x	11.24x	9.15x	7.07x	3.79x	
P/S	11.13x	10.79x	4.28x	10.49x	7.87x	10.08x	15.75x	9.90x	7.22x	9.11x	
EV/Sales	11.03x	10.67x	4.20x	10.45x	7.80x	10.05x	15.91x	10.09x	7.36x	9.03x	
EV/EBITDA	62.47x	42.66x	17.94x	114.32x	39.64x	51.97x	55.74x	30.10x	20.05x	42.94x	25.0x
Dividend yield	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	

VALUATION

Peers and target price bridge

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Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON										
COMPANY	COUNTRY	MKT CAP	P/E 2026E	P/E 2027E	EV/EBITDA 2026E	EV/EBITDA 2027E	P/BV	EBIT MARGIN	ROE	DIV YIELD
NVIDIA Corporation	United States	4071.6 USDbn	38.0x	19.4x	34.2x	15.4x	29.0x	60.4%	101.5%	0.0%
Intel Corporation	United States	453.3 USDbn	66.7x	253.0x	40.5x	44.2x	3.8x	12.3%	5.6%	1.2%
QUALCOMM Incorporated	United States	158.1 USDbn	17.8x	17.2x	9.2x	9.7x	6.0x	33.1%	38.0%	3.2%
Broadcom Inc.	United States	1536.6 USDbn	60.8x	48.8x	32.3x	27.7x	13.7x	65.7%	25.5%	n/a
Marvell Technology, Inc.	United States	163.6 USDbn	25.4x	143.7x	26.5x	102.6x	4.7x	16.3%	19.3%	0.1%
Microchip Technology Incorporated	United States	54.6 USDbn	115.0x	66.4x	39.1x	27.7x	8.3x	23.4%	6.9%	0.7%
ON Semiconductor Corporation	United States	21.2 USDbn	16.4x	11.6x	9.0x	6.8x	2.0x	22.9%	13.0%	n/a
Arm Holdings plc	United States	220.5 USDbn	248.7x	191.7x	94.0x	79.0x	28.6x	42.5%	12.0%	n/a
Taiwan Semiconductor Manufacturing Company	Taiwan	1176.2 TWDbn	0.8x	0.7x	-0.4x	-0.8x	0.2x	43.1%	24.1%	n/a
Peer median	-	-	25.4x	18.3x	32.3x	21.6x	4.3x	33.1%	16.1%	0.4%
Peer average	-	-	32.3x	27.4x	27.3x	21.9x	4.2x	35.5%	18.1%	0.5%

TARGET PRICE BRIDGE					
METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE	WEIGHT
EV/EBITDA	2028e EBITDA	39,971 USDm	25.0x	551.9 USD	54%
P/E	2028e EPS	15.63 USD	35.0x	500.5 USD	36%
XY scatter (ROE/P/BV)	Average forecast BVPS	54.6 USD	2.2x	122.8 USD	10%
Weighted target price				490.5 USD	100%

SENSITIVITY — IMPLIED SHARE PRICE			
2028E EBITDA (USDM)	MULTIPLE 24.0X	MULTIPLE 25.0X (BASE)	MULTIPLE 26.0X
31,977 (-20%)	421.8	439.8	457.7
35,974 (-10%)	475.6	495.8	516.0
39,971 (0%)	529.4	551.9	574.3
43,968 (+10%)	583.3	607.9	632.6
47,965 (+20%)	637.1	664.0	690.9

VALUATION MAP

ROE vs P/BV — pricing versus profitability

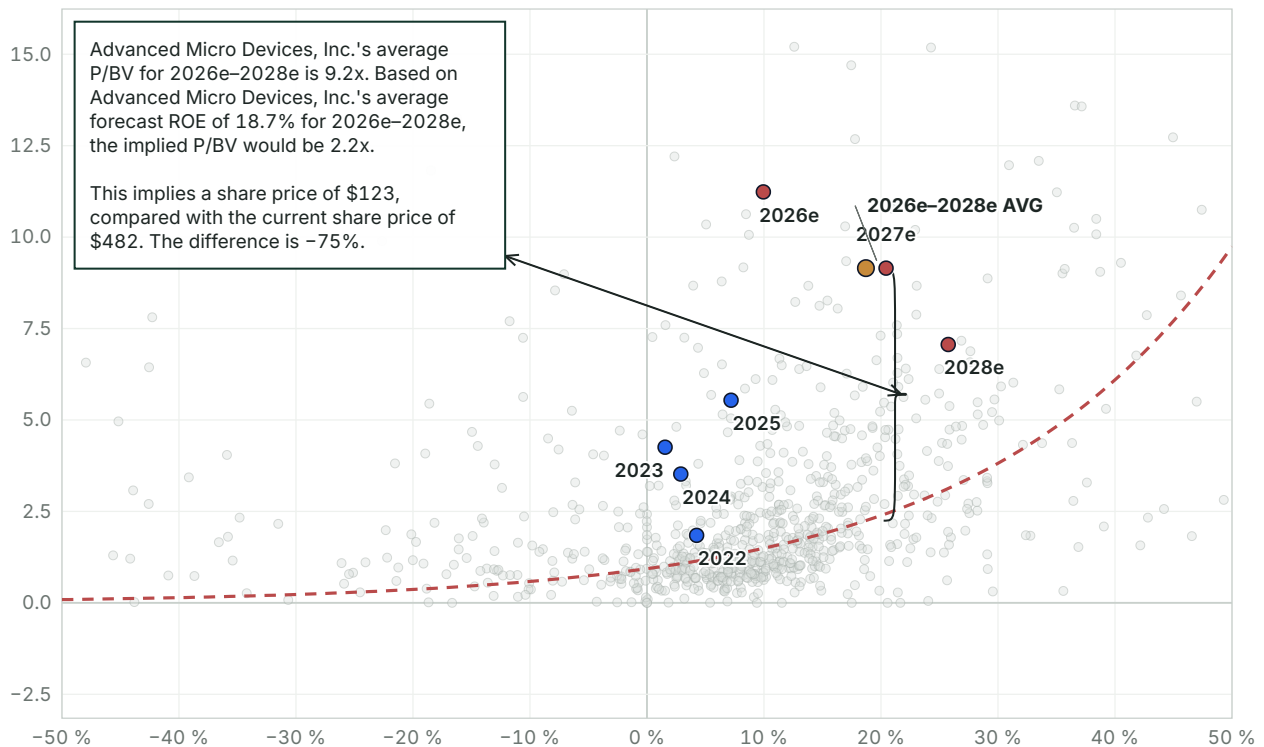
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The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.

ROE 2025 vs P/BV 2025

Advanced Micro Devices, Inc. in the Wisdom universe (4 632 companies)

○ Universe ● History ● Forecast ● Forecast average



Advanced Micro Devices sits well above the market curve, with forecast average ROE of 18.7% and a P/BV of 9.2x. The broader universe typically pays a much lower 2.2x multiple for this level of profitability. This suggests a substantial valuation premium: the curve-implied share price of USD 122.8 indicates potential 75% downside from the current market price of USD 482.1.

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	
	2026
P/E	118.4×
EV/EBITDA	55.7×
EV/EBIT	201.1×
P/FCF	-74.5×
P/BV	11.2×
Dividend Yield	—
Net Debt / EBITDA	0.4×

EBITDA × EV/EBITDA sensitivity					
EBITDA EV/EBITDA →	15.0×	18.0×	20.0×	22.0×	25.0×
-20% USD 11,355m	USD 170,325m USD 105.10 / sh	USD 204,390m USD 126.00 / sh	USD 227,100m USD 139.90 / sh	USD 249,810m USD 153.90 / sh	USD 283,875m USD 174.70 / sh
-10% USD 12,775m	USD 191,625m USD 118.20 / sh	USD 229,950m USD 141.70 / sh	USD 255,500m USD 157.30 / sh	USD 281,050m USD 173.00 / sh	USD 319,375m USD 196.50 / sh
Base USD 14,194m	USD 212,910m USD 131.20 / sh	USD 255,492m USD 157.30 / sh	USD 283,880m USD 174.70 / sh	USD 312,268m USD 192.20 / sh	USD 354,850m USD 218.30 / sh
+10% USD 15,613m	USD 234,195m USD 144.30 / sh	USD 281,034m USD 173.00 / sh	USD 312,260m USD 192.20 / sh	USD 343,486m USD 211.30 / sh	USD 390,325m USD 240.00 / sh
+20% USD 17,033m	USD 255,495m USD 157.30 / sh	USD 306,594m USD 188.70 / sh	USD 340,660m USD 209.60 / sh	USD 374,726m USD 230.50 / sh	USD 425,825m USD 261.80 / sh

SCENARIO VALUATION

Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE								
	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	75,000	25,000	33.3%	15.0×	375,000	376,067	USD 230.63	-52.2%
Base	108,870	39,971	36.7%	20.0×	799,420	800,487	USD 490.92	+1.8%
Bull	137,500	55,000	40.0%	22.0×	1,210,000	1,211,067	USD 742.71	+54.1%
KEY CONDITIONS The scenarios depend on AI Accelerator execution and competitive dynamics. The base case requires USD 40 billion in group EBITDA by 2028 and a sustained 20x multiple. The bear case assumes aggressive Nvidia price cuts and multiple contraction to 15x. Upside requires the AI merchant TAM to approach management's USD 1.4 trillion estimate and AMD to capture >10% share.								
THESIS BREAKER If Nvidia cuts H100/B200 prices, AMD's required 40% AI margin would fail. EBITDA shortfalls and multiple contraction would destroy significant enterprise value.								

CATALYSTS

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Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER				
	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
OpenAI 1GW Initial Deployment	NEAR-TERM	Data Center - AI Accelerators	Proves commercial scalability of MI325/355X architecture	Validates the primary volume driver
TSMC CoWoS / HBM3e Supply Data	NEAR-TERM	Data Center - AI Accelerators	Determines physical revenue ceiling	Supply constraints break 2027 revenue bridge
Server CPU Unit Share vs Intel	MEDIUM-TERM	Data Center - Server CPUs (EPYC)	Tests durability of the cash engine	Share drop signals Intel pricing pressure
Embedded Segment Inventory	MEDIUM-TERM	Embedded	Signals cycle turn for Xilinx assets	Supports realizability of \$102B EV
READ - THROUGH The key catalyst is execution of the OpenAI 1-gigawatt deployment beginning in 2H 2026. This should be visible in Data Center revenue growth. TSMC packaging data may be misunderstood: investors often view demand as the constraint, but AMD's revenue capacity is limited by the number of advanced wafers it can secure from Taiwan. The monitoring checklist tests the volume assumptions behind AI Accelerator economics. Server unit share against Intel also provides downside protection for AMD's core cash-generative business.				

Event sources: AMD and OpenAI Announce Strategic Partnership to Deploy 6 Gigawatts of AMD GPUs (2025-10-06), <https://www.sec.gov/Archives/edgar/data/2488/000119312525230895/d28189dex991.htm>

RISKS

Risk register

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Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER					
	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Competitive Pricing	Data Center - AI Accelerators	Nvidia uses B200 efficiency to slash merchant pricing, breaking the 40% margin assumption.	Lowered Instinct GPU ASPs	HIGH	THESIS BREAKER
Supply Chain Concentration	Data Center - Server CPUs (EPYC)	Sole reliance on TSMC for fabrication and advanced packaging caps volumes.	CoWoS bottleneck announcements	HIGH	STRUCTURAL
Customer Concentration	Data Center - AI Accelerators	Heavy reliance on a few hyperscalers leads to sudden order cancellations or delays.	Hyperscaler Capex reductions	MEDIUM	MANAGEABLE
Custom Silicon Encroachment	Data Center - AI Accelerators	Hyperscalers shift workloads to internal Arm chips, eroding merchant TAMs.	AWS/Google custom silicon milestones	MEDIUM	STRUCTURAL
READ - THROUGH The main risk is competitive pricing by Nvidia. If Nvidia defends its 85% market share by reducing prices, AMD would likely follow, undermining the margin needed to reach USD 26 billion in group EBITDA by 2027. This risk appears underappreciated because the market assumes hardware supply constraints will persist indefinitely. Supply-chain risk is partly reflected in general awareness of TSMC's geographic exposure, but CoWoS advanced packaging remains a specific operational bottleneck. These risks are correlated across divisions. If a macro shock causes hyperscalers to reduce data center capex, both Server CPUs and AI Accelerators would weaken simultaneously, removing any internal portfolio offset.					

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APPENDIX

Income statement

INCOME STATEMENT — USD MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
Net Sales	22,680	25,785	34,639	49,714	79,383	108,870
EBITDA	2,073	5,077	6,698	14,194	26,613	39,971
EBITDA margin	9.1%	19.7%	19.3%	28.6%	33.5%	36.7%
Depreciation	-1,672	-3,177	-3,004	-10,260	-121	-1,746
Operating Profit (EBIT)	401	1,900	3,694	3,934	26,492	38,225
EBIT margin	1.8%	7.4%	10.7%	7.9%	33.4%	35.1%
Net financial items	107	122	472	6,048	-4,981	-3,927
Pre-tax Profit	508	2,022	4,166	9,982	21,511	34,298
Net Earnings	854	1,641	4,335	6,611	15,918	25,381
PER SHARE						
EPS	0.5	1	2.7	4.1	9.8	15.6
DPS	0	0	0	0	0	0
Payout ratio	—	—	—	—	—	—

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — USD MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
ASSETS						
Tangible assets	2,222	2,425	2,312	3,793	6,057	8,307
Intangibles	21,363	18,930	16,705	23,975	38,283	52,504
Goodwill	24,262	24,839	25,126	25,126	25,126	25,126
Non-current assets	50,751	49,489	49,595	58,346	74,918	91,389
Inventories	4,351	5,734	7,920	11,258	17,976	24,654
Receivables	8,484	9,528	13,488	17,743	24,050	30,320
Cash & equivalents	3,933	3,787	5,539	7,723	12,332	16,912
Current assets	16,768	19,049	26,947	36,723	54,358	71,886
Total Assets	67,885	69,226	76,926	95,453	129,661	163,658
EQUITY & LIABILITIES						
Equity	55,892	57,568	62,999	69,951	85,869	111,249
Long-term debt	1,717	1,721	2,973	6,023	13,249	15,673
Short-term debt	751	—	874	6,023	13,249	15,673
Long-term liabilities	3,567	3,537	3,534	6,584	13,810	16,234
Current liabilities	6,689	7,281	9,455	17,833	28,734	34,810
Total liabilities & equity	67,885	69,226	76,926	95,453	129,661	163,658
CAPITAL STRUCTURE & RATIOS						
Net debt	-930	-1,575	-1,067	5,096	15,102	15,485
Capital invested	54,427	55,502	61,307	74,275	100,035	125,683
Equity ratio	82.3%	83.2%	81.9%	73.3%	66.2%	68.0%
Gearing	-1.7%	-2.7%	-1.7%	7.3%	17.6%	13.9%
Net debt / EBITDA	-0.4×	-0.3×	-0.2×	0.4×	0.6×	0.4×
Current ratio	2.5	2.6	2.9	2.1	1.9	2.1

E = Valuatum estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — USD MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
OPERATIONS						
CF from operations	-566	3,734	2,493	12,508	6,688	17,832
Operating cash flow	-1,685	2,460	2,211	8,502	10,374	20,738
Change in working capital	3,082	1,084	4,846	4,364	9,352	9,294
INVESTING & FREE CASH						
Gross capex	-80	1,915	3,110	19,011	16,693	18,216
Capex (ex. M&A)	80	-1,915	-3,110	-19,011	-16,693	-18,216
Free Operating Cash Flow	-1,419	511	-2,154	-10,509	-6,319	2,522
Free cash flow to firm	-1,419	511	-2,088	-10,509	-6,319	2,522
FINANCING						
CF from financing	614	-790	2,101	8,687	14,614	4,965
Dividends paid	—	—	—	—	—	—
Net change in cash	128	1,029	1,484	2,184	4,609	4,581

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, USD MILLIONS								
	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	5,473	5,835	6,819	7,658	7,438	7,685	9,246	10,270
EBITDA	820	1,038	1,562	1,657	1,548	623	2,024	2,503
EBITDA margin	15.0%	17.8%	22.9%	21.6%	20.8%	8.1%	21.9%	24.4%
Comparable EBIT	36	269	724	871	806	-134	1,270	1,752
EBIT margin	0.7%	4.6%	10.6%	11.4%	10.8%	-1.7%	13.7%	17.1%
Net Earnings	123	265	771	482	709	872	1,243	1,511
EPS	0.1	0.2	0.5	0.3	0.4	0.5	0.8	0.9

CURRENT YEAR — QUARTERLY, USD MILLIONS				
	Q1/26	Q2/26	Q3/26 E	Q4/26 E
Net Sales	10,253	11,536	12,400	15,525
EBITDA	2,233	2,755	5,492	7,598
EBITDA margin	21.8%	23.9%	44.3%	48.9%
Comparable EBIT	1,476	1,990	1,703	2,648
EBIT margin	14.4%	17.3%	13.7%	17.1%
Net Earnings	1,383	2,297	2,306	4,512
EPS	0.9	1.4	1.4	2.8

E = Valuatum estimate (not yet actualised)

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
Current share price: \$482.05	482.05	MARKET DATA	Cover Page & Valuation Check
Historical Income Statement	Group Financials	FINANCIAL SNAPSHOT	Group Totals & Bridge
Forward EV/EBITDA Multiples	55.74x 2026E	MODEL OUTPUT	Valuation Bridge
2028E EBITDA: \$39,971m	39,971	GENERATED ESTIMATE	Scenarios & Core Analysis
2028 Consensus EBITDA: \$39,971m	39,971	CONSENSUS ESTIMATES	Cross-Pool Bridge
AI Accelerators EV Allocation: \$379,741m	379,741	COMPANY VALUE MAP	Value Breakdown & Segment Deep Dives

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This report contains an investment recommendation: a rating and a 12-month target price for the subject company's share. It is not personalised investment advice and takes no account of any individual recipient's objectives, financial situation or needs.

The target price is derived from EV/EBITDA, P/E, XY scatter (ROE/P/BV), weighted as shown in the target price bridge, against peer-group and historical multiples. The valuation methodology, key assumptions and their sensitivities are presented in the valuation section of this report.

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